

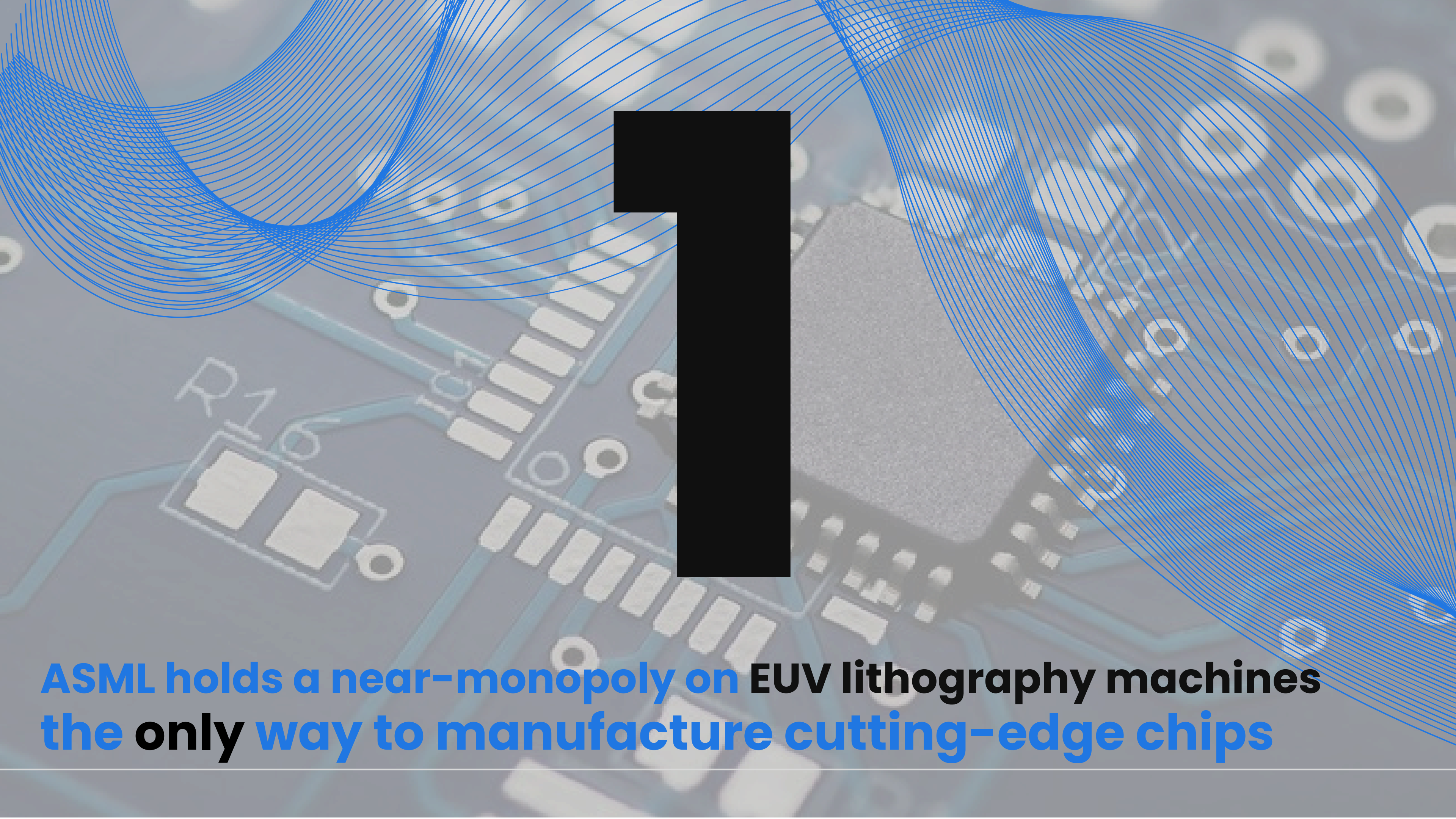
ASML

The Most Important Company You've Never Heard Of

International Strategy

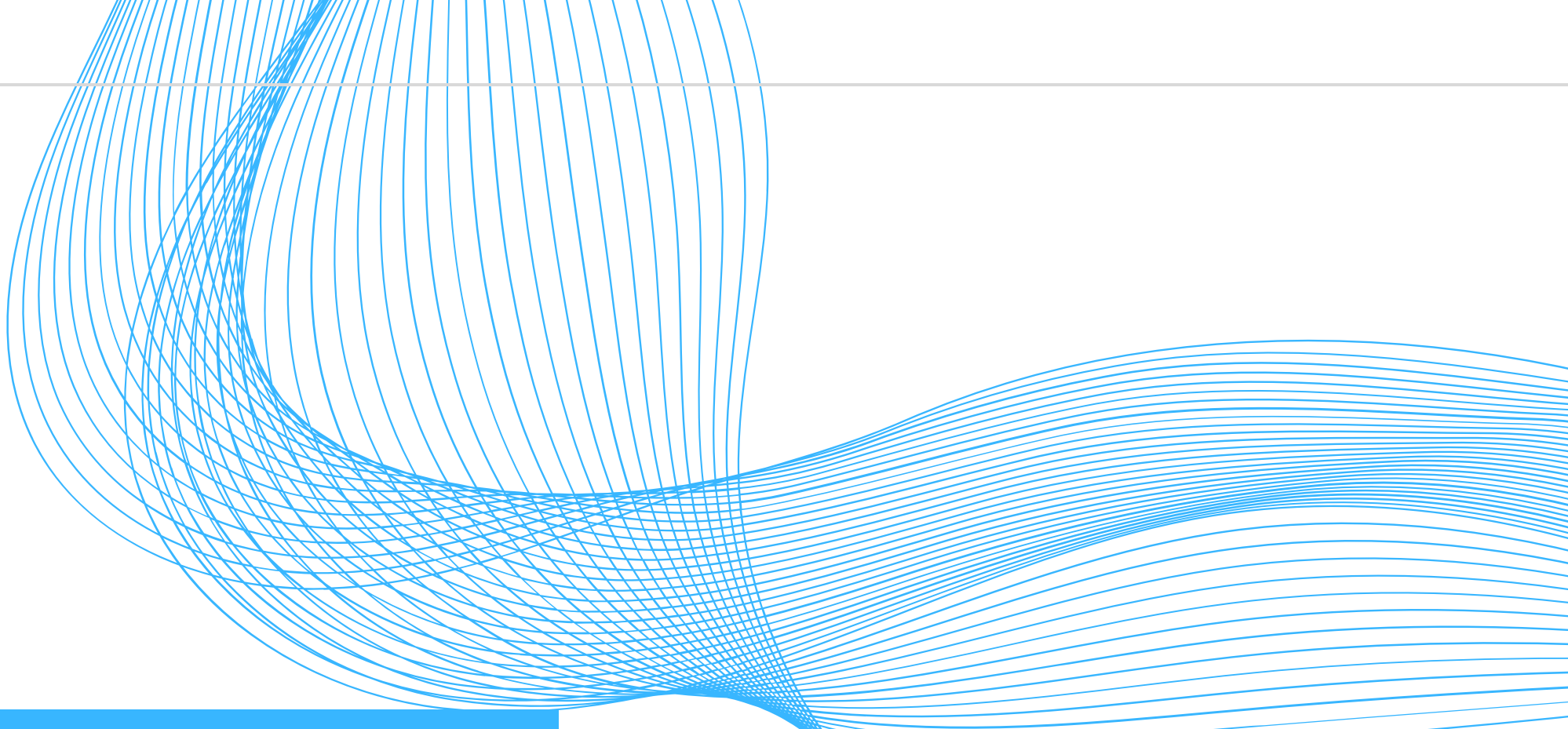
A dimly lit desk setup featuring a laptop on the left and a large monitor on the right. The monitor displays a graphic with the text "Come in WE'RE OPEN". The scene is dark, with the primary light source coming from the screens. The text "How many companies can build the machines that print your chips?" is overlaid in white, bold font across the center of the image.

How many companies can build the machines that print your chips?

The background is a grayscale image of a circuit board with various components and traces. Overlaid on this is a series of thin, blue, wavy lines that create a sense of motion or signal flow. In the center, there is a large, solid black letter 'T'.

**ASML holds a near-monopoly on EUV lithography machines
the only way to manufacture cutting-edge chips**

ASML



1984

Philip's Spinoff
Veldhoven, NLD

**Semiconductor
Industry**

100%

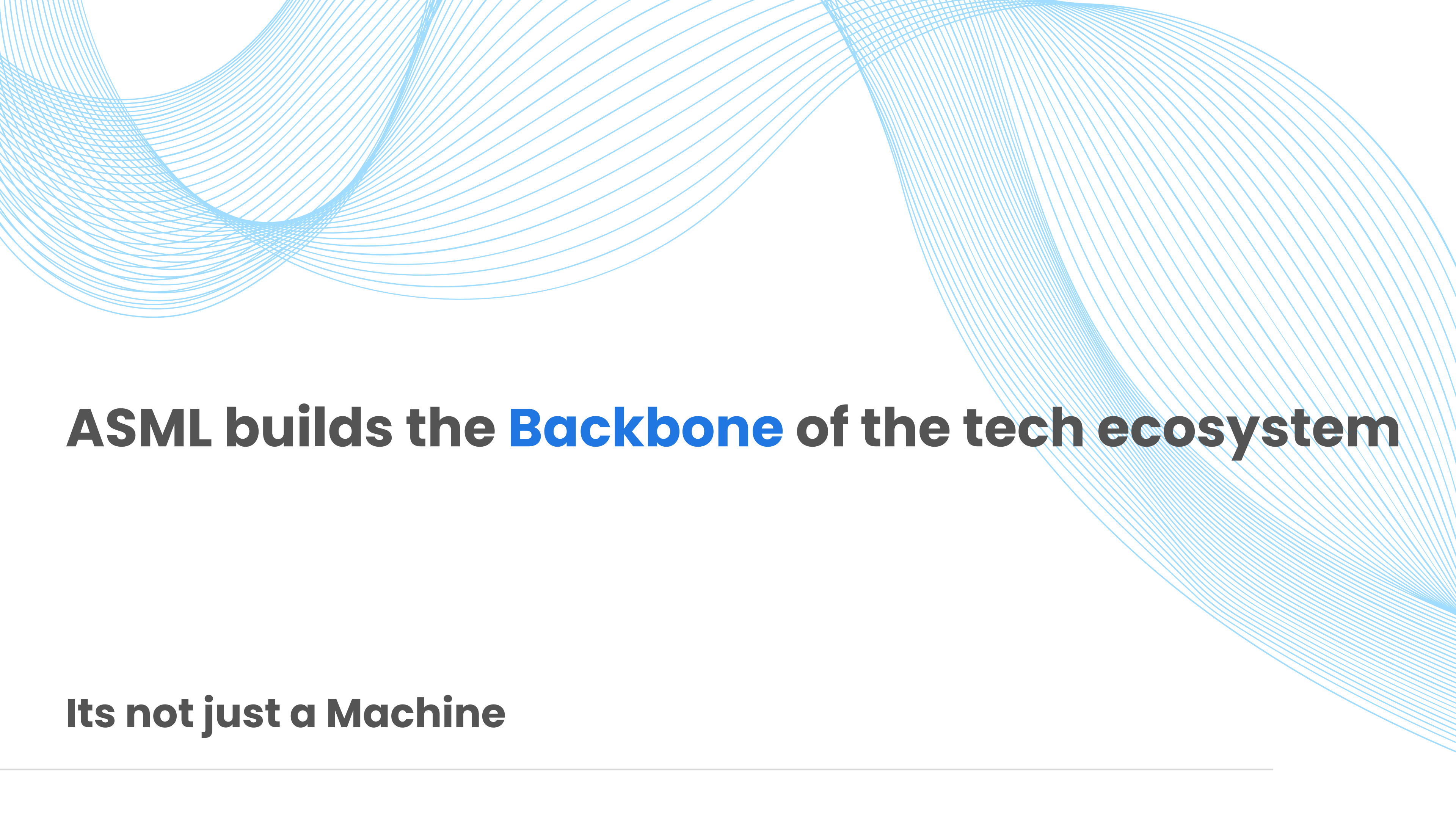
Market Share

\$531 B

Market Cap

\$400 M

1 **EUV Machine**
over 100,000
individual parts
nanometer scale
precision

The background features a series of overlapping, wavy blue lines that create a sense of motion and depth, resembling a stylized representation of a network or a dynamic system.

ASML builds the **Backbone of the tech ecosystem**

Its not just a Machine



MARKET & GEOPOLITICAL ANALYSIS

Overview

CHIP WARS

GLOBAL TRADE SANCTIONS

AI

DRIVING UP DEMAND

TECHNOLOGY

COMPETITORS STARTING
TO DEVELOP EUV

Internal Restructuring

SIMPLIFY STRUCTURE
ENGINEERING FOCUS PIVOT



PESTEL



Political

INTERNATIONAL RELATIONS AND THE AI RACE

Economic

CHIP DEMAND EXPLODING DUE TO AI + BIG DATA

Social

HIGHLY INTERNATIONAL + SPECIALISED WORKFORCE

Technological

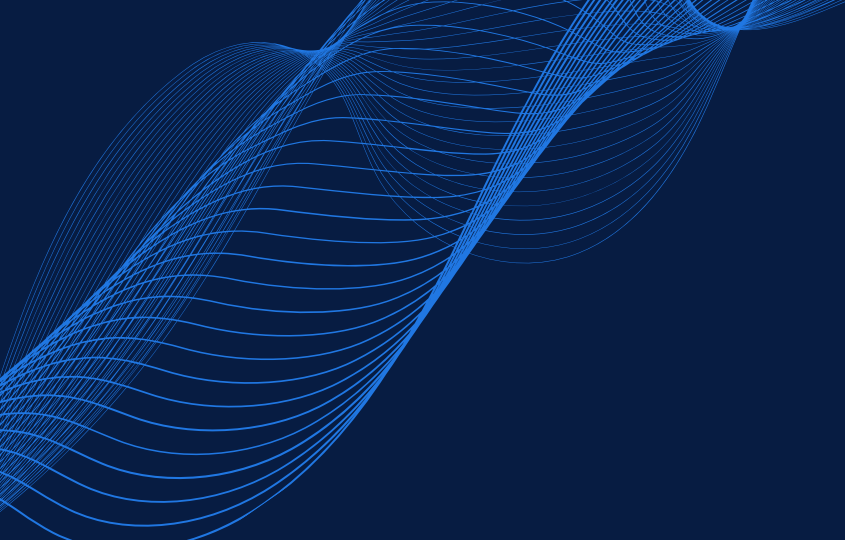
RAPID INNOVATION CYCLES, R&D INTENSITY

Environmental

SEMICONDUCTOR ENERGY USAGE

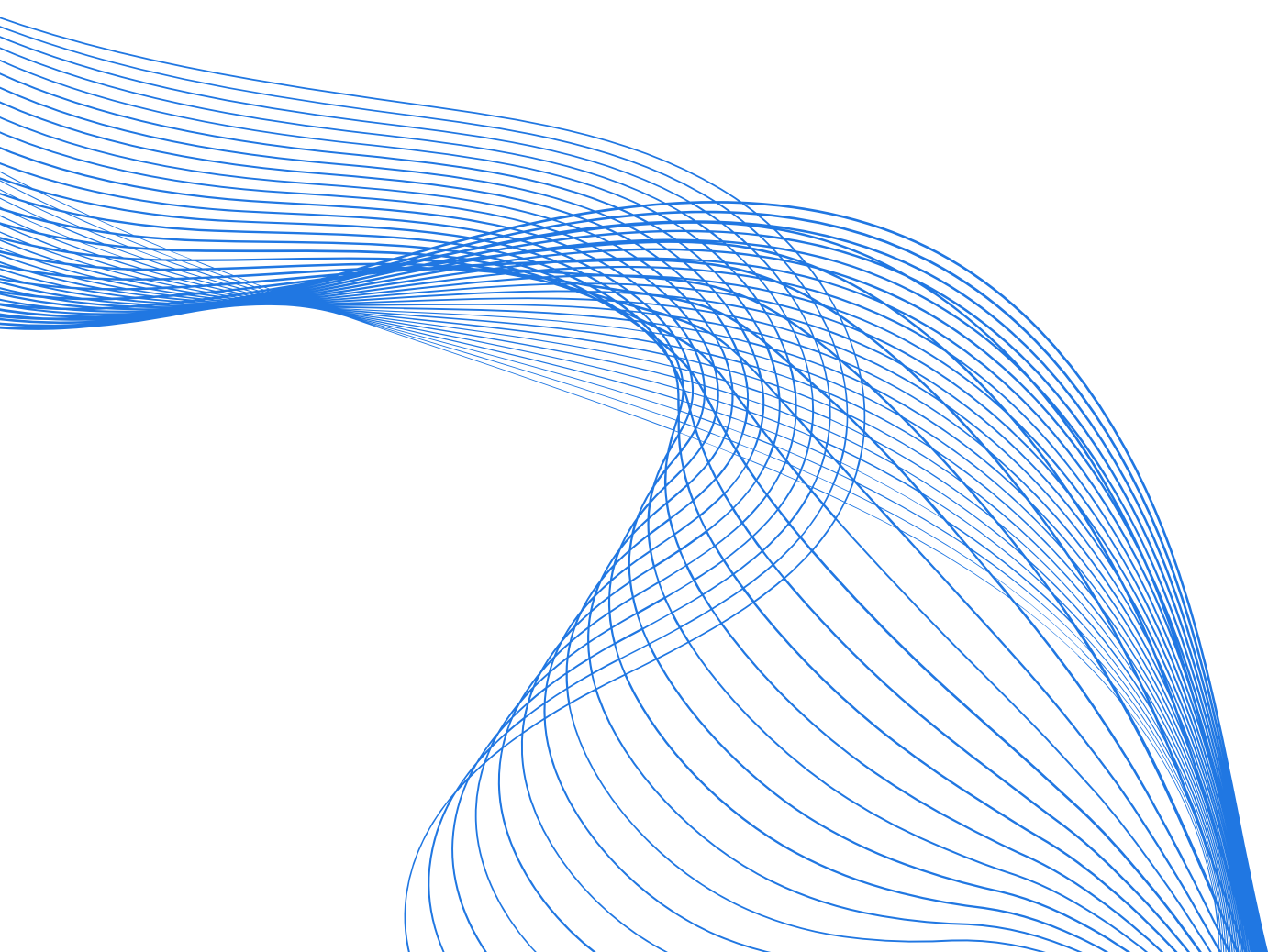
Legal

IP PROTECTION. EXPORT CONTROLS



Theoretical Frameworks

Porter's 5 Forces



Threat of New Entrant

Virtually zero. Precision Capability + specialized supplier networks very difficult to duplicate.

Substitutes

Low. Others have not been able to replicate precision capabilities

Rivalry

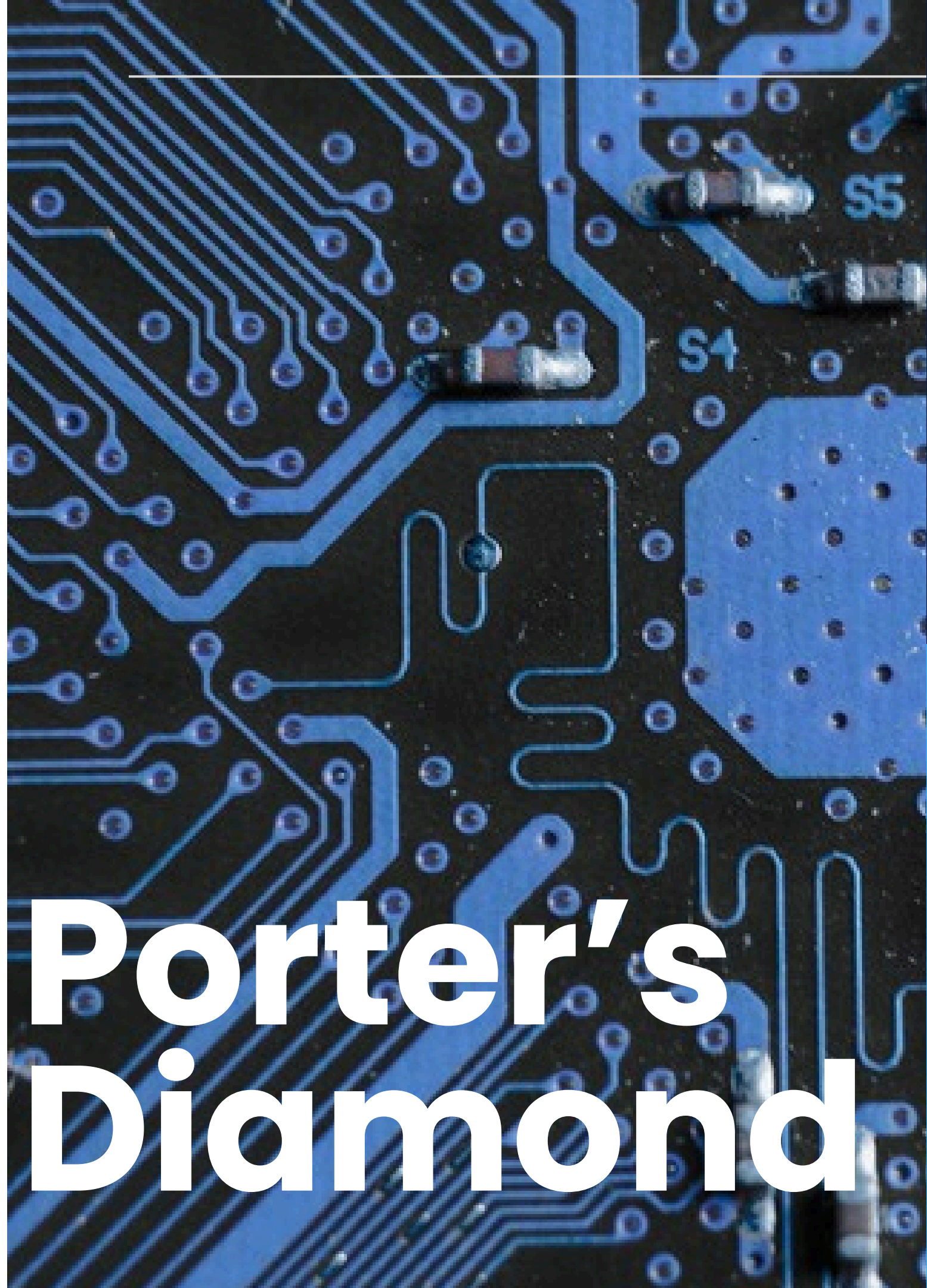
Low. Near monopoly of EUV market

Buyer Power

Moderate. Fewer + Huge customers

Supplier Power

High. Highly specialized suppliers; managed through tight joint-ventures



Porter's Diamond

Factor Conditions

- Rooted in high-tech hardware hub.
- Inherited decades of expertise.
- Steady pipeline of specialized engineering talent.

Related Industries

- Codevelop extremely precise specialized components
- Hyper-local Single-source supplier network

Strategy Structure & Rivalry

- Open-innovation + Codevelopment
- Main customers= Minority stakes to fund R&D
- Modular assembly

Home Demand Conditions

- Sophisticated Early Buyers

Porter's Diamond

Factor Conditions

- Rooted in high-tech hardware hub.
- Inherited decades of expertise.
- Steady investment in specialized expertise.

Structure

& Rivalry

- Open-innovation model.
- Codevelopment with customers.
- Main customers are government and universities.
- Main customers have stakes to fund R&D.
- Modular assembly.

Related Industries

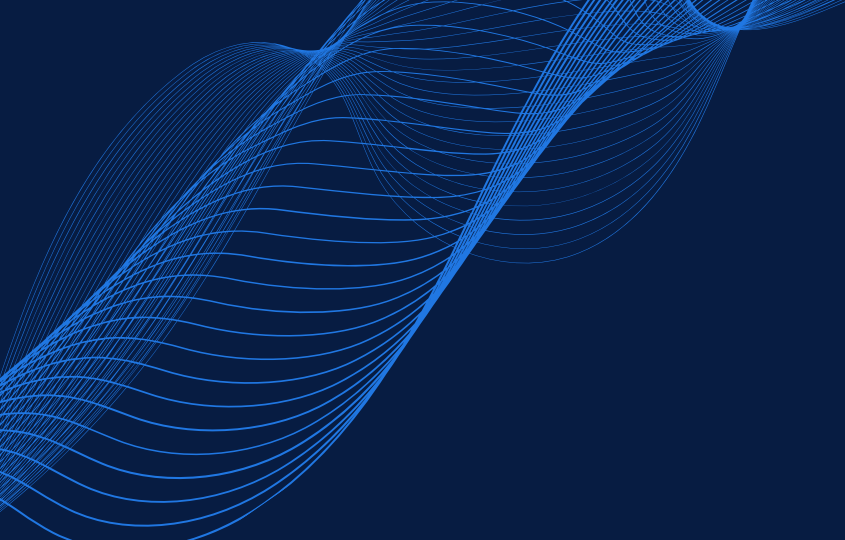
- Develop extremely specialized expertise.
- Single-network structure.

Government Project Beethoven

The Dutch government recently committed billions to upgrade infrastructure in Eindhoven to help convince ASML to expand domestically rather than moving operations abroad.



Started Early



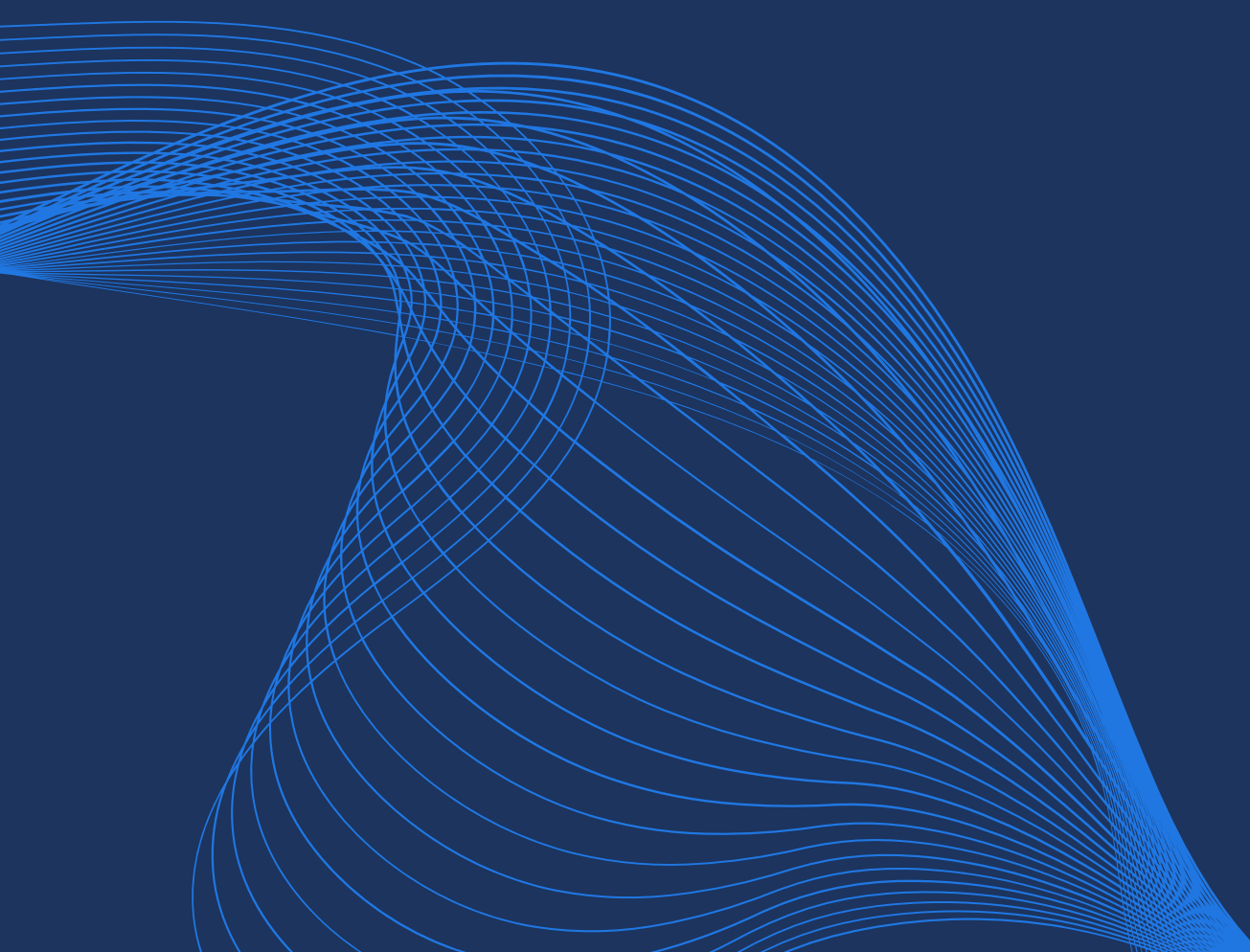
International Strategy Proposal





How can ASML maintain global growth
while navigating geopolitical
fragmentation?

4 Pillars



1 Supply Chain Diversification

Reduce Geopolitical Risk

2 Government Partnerships

Success depends on
state-level cooperation

3 Controlled Localization

Increase Global Presence

4 Protect Technology

Protect technological
monopoly

Trade sanctions, regional instability limits exports

BUT

**ASML cannot replicate its core lithography
manufacturing or its Zeiss optics
partnership outside of Europe.**



Strategic Adaptation

Insulation Against Sanctions: Build non-US/non-EU component supply chains for standard parts to minimize the impact of cross-fire export controls.

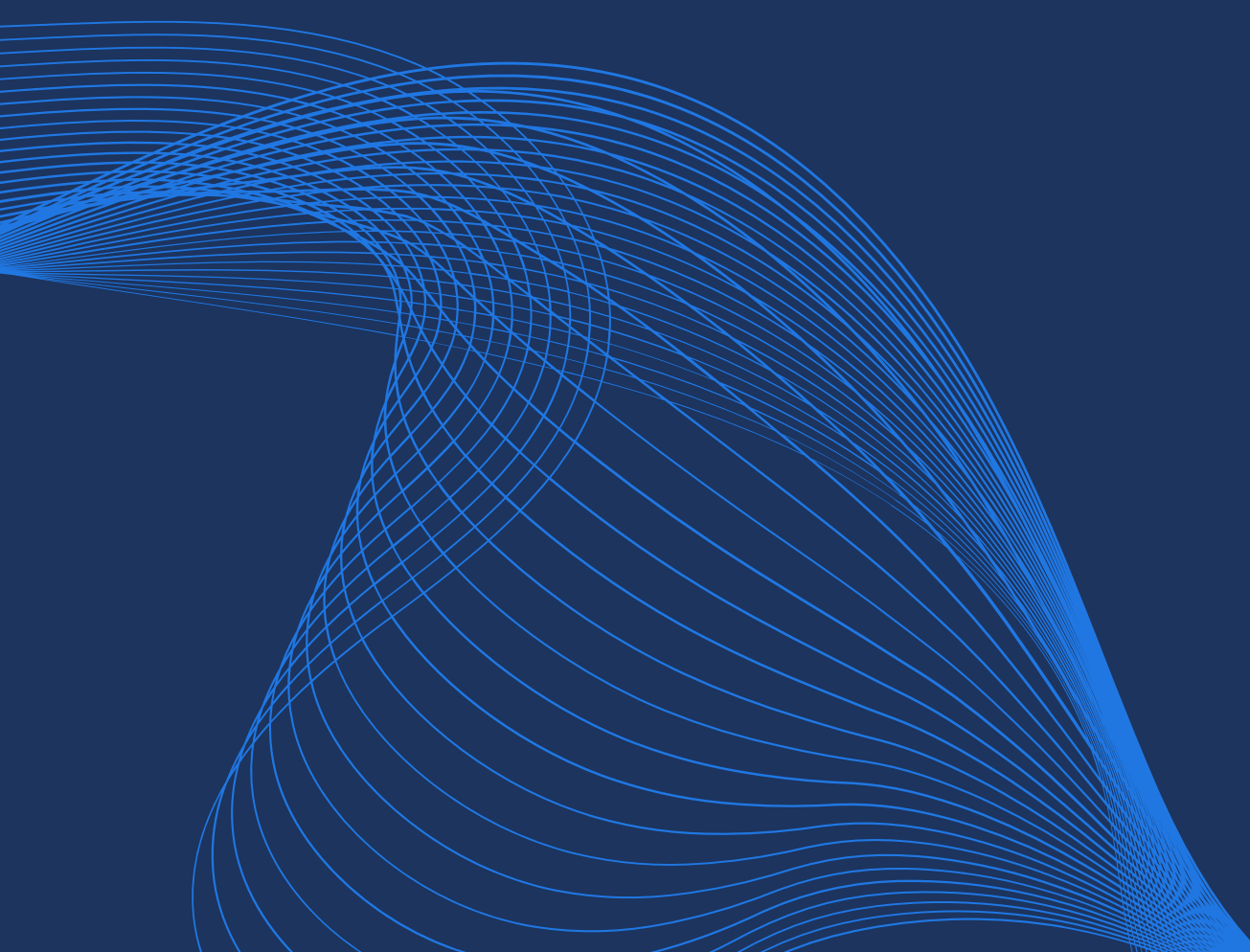
Hedging Against Regional Conflict:

Shift assembly support, precision logistics, and backup component inventory into politically stable, diversified zones (Japan, Southeast Asia, US).

Goal

Ensure that if a regional conflict or sudden sanction shuts down one shipping lane or customer hub, ASML's global maintenance and assembly pipeline doesn't collapse.

4 Pillars



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Reduce Geopolitical Risk

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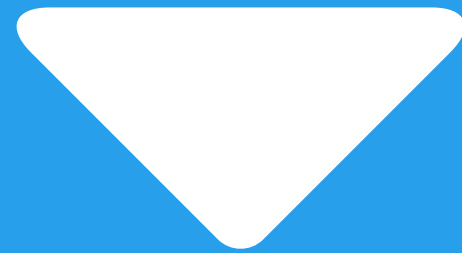
3 Controlled Localization

Increase Global Presence

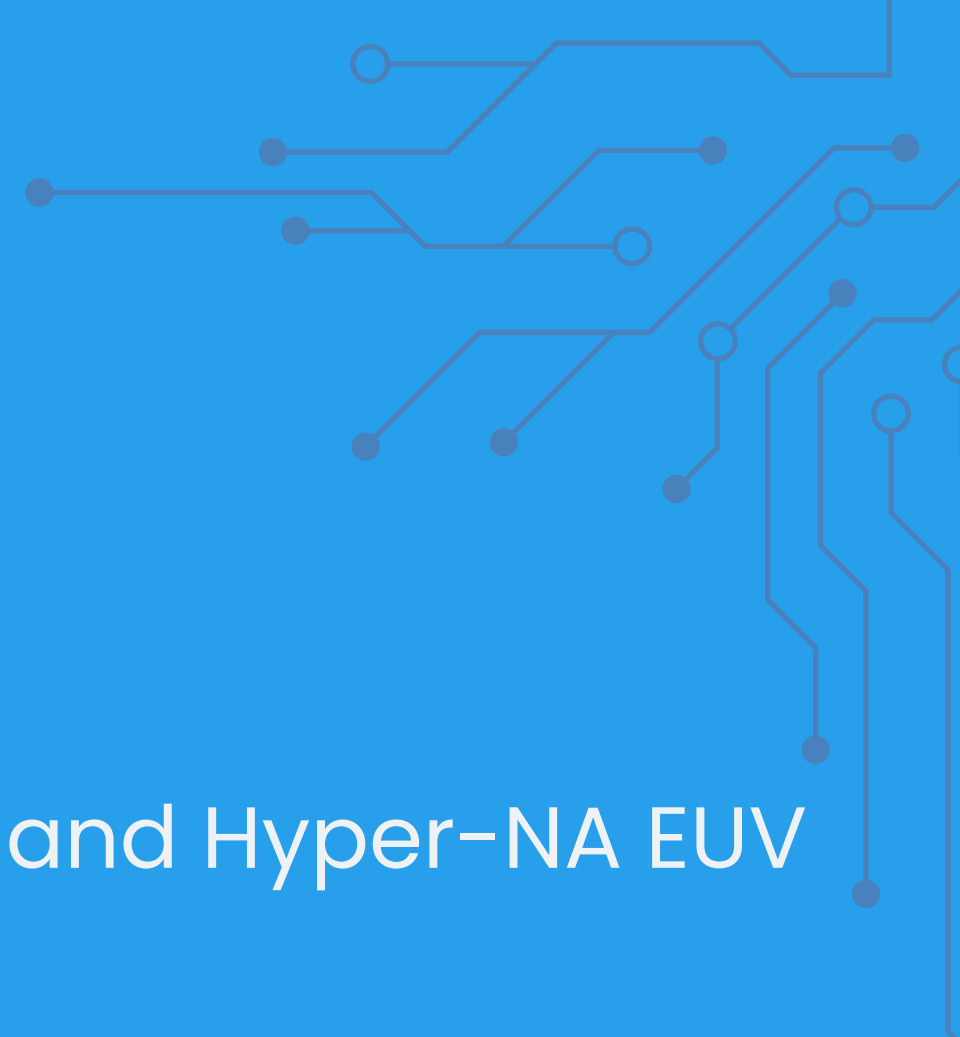
4 Protect Technology

Protect technological
monopoly

Chip Wars and AI Race



**ASML's business strategy is tethered
to sovereign national agendas.**

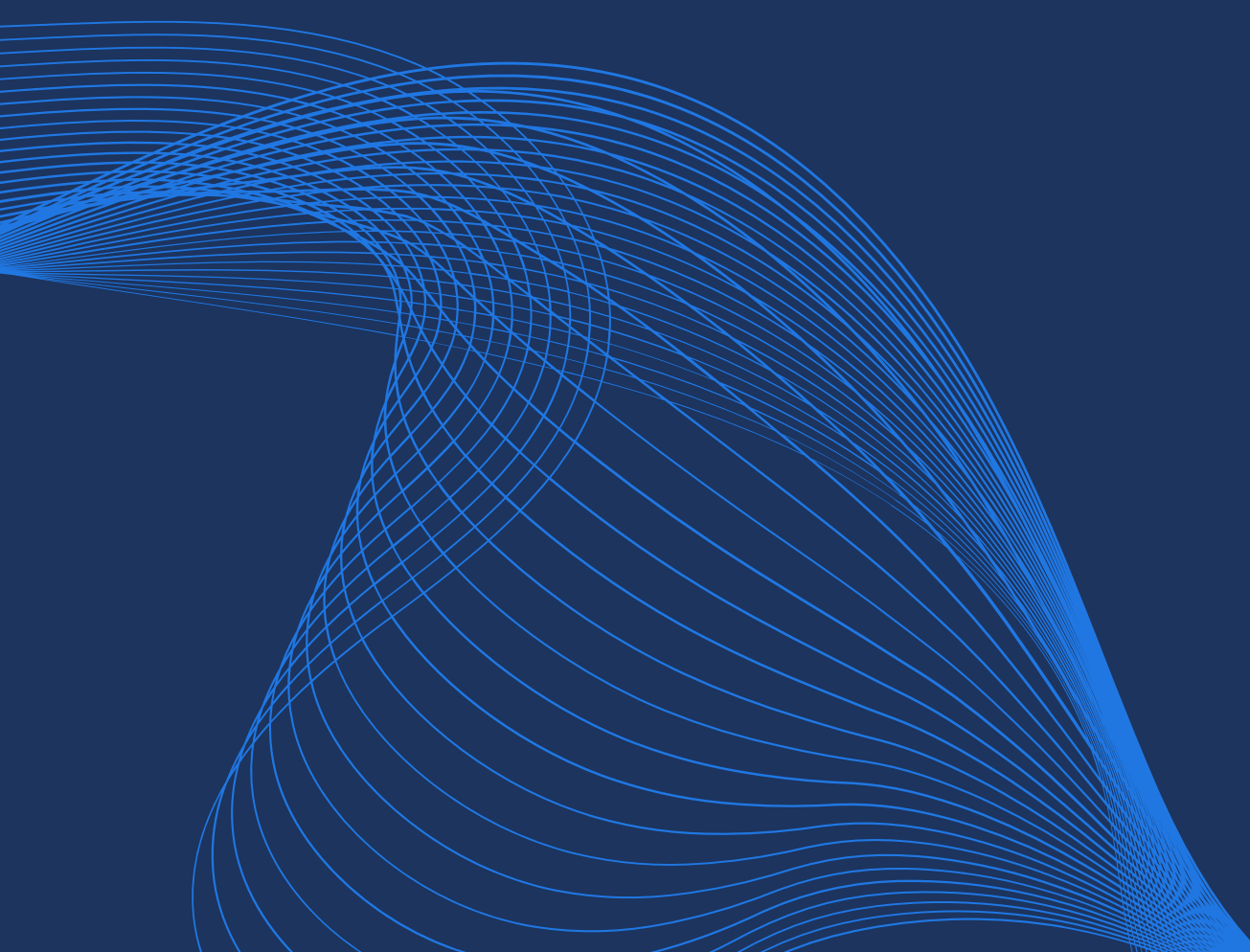


Regional Alignment:

- EU Chips Act:** Secure funding for next-generation High-NA and Hyper-NA EUV development in Veldhoven.
- US CHIPS Act:** Align with multi-billion-dollar foundry rollouts such as Intel in Ohio/Oregon, TSMC in Arizona
- Japanese Alliances:** Embed ASML systems directly into Rapidus and local Japanese logic-chip initiatives.

Co-evolve with government to shape international trade and policies.

4 Pillars



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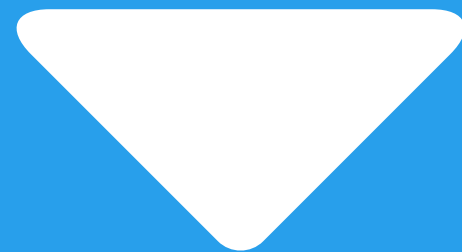
3 Controlled Localization

Increase Global Presence

4 Protect Technology

Protect technological
monopoly

**Avoid massive capital expense and
IP leak risk of building duplicate
manufacturing plants globally.**



Controlled Localization

Deep Regional Service Hubs

Establish highly specialized tech support centers inside massive customer clusters

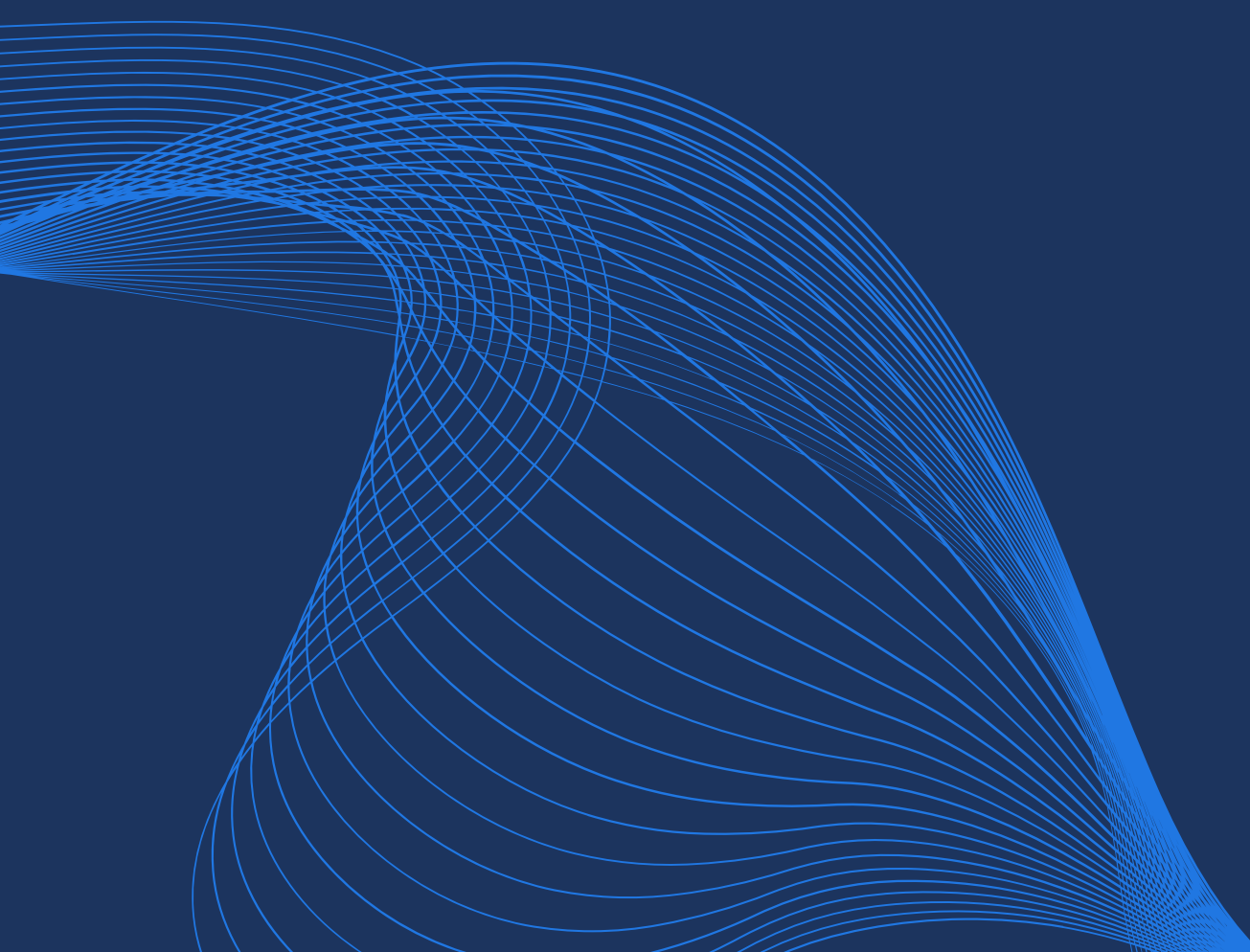


Collaborative R&D Extensions

Open local labs to co-develop software and optimize machine run-time directly with clients.

High financial feasibility. Capital expenditures remain low because ASML avoids building \$10B+ duplicated cleanrooms, while operational proximity ensures maximum machine uptime and customer lock-in.

4 Pillars



1 Supply Chain Diversification

Reduce Geopolitical Risk

2 Government Partnerships

Success depends on
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3 Controlled Localization

Increase Global Presence

4 Protect Technology

Protect technological
monopoly

**Maintain an unassailable
technological distance between ASML
and potential new entrants and rivals**

4 Protect Technology

Protect technological monopoly

Aggressive R&D Scaling:

Commit 15%+ of annual revenue to innovate next-gen lithography technology

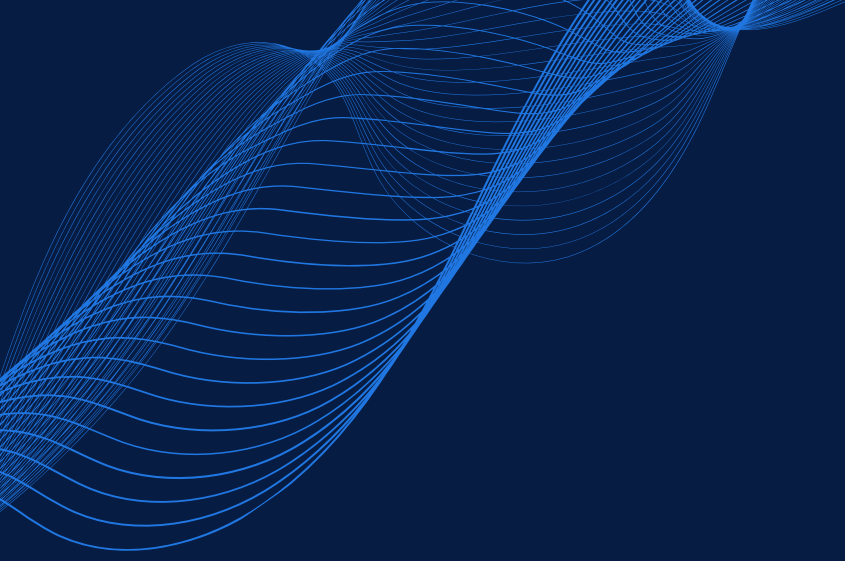
Talent Aquisition/Retention:

School recruiting, job training schemes and premium compensation structures.
Reviews and adjustments to work environment

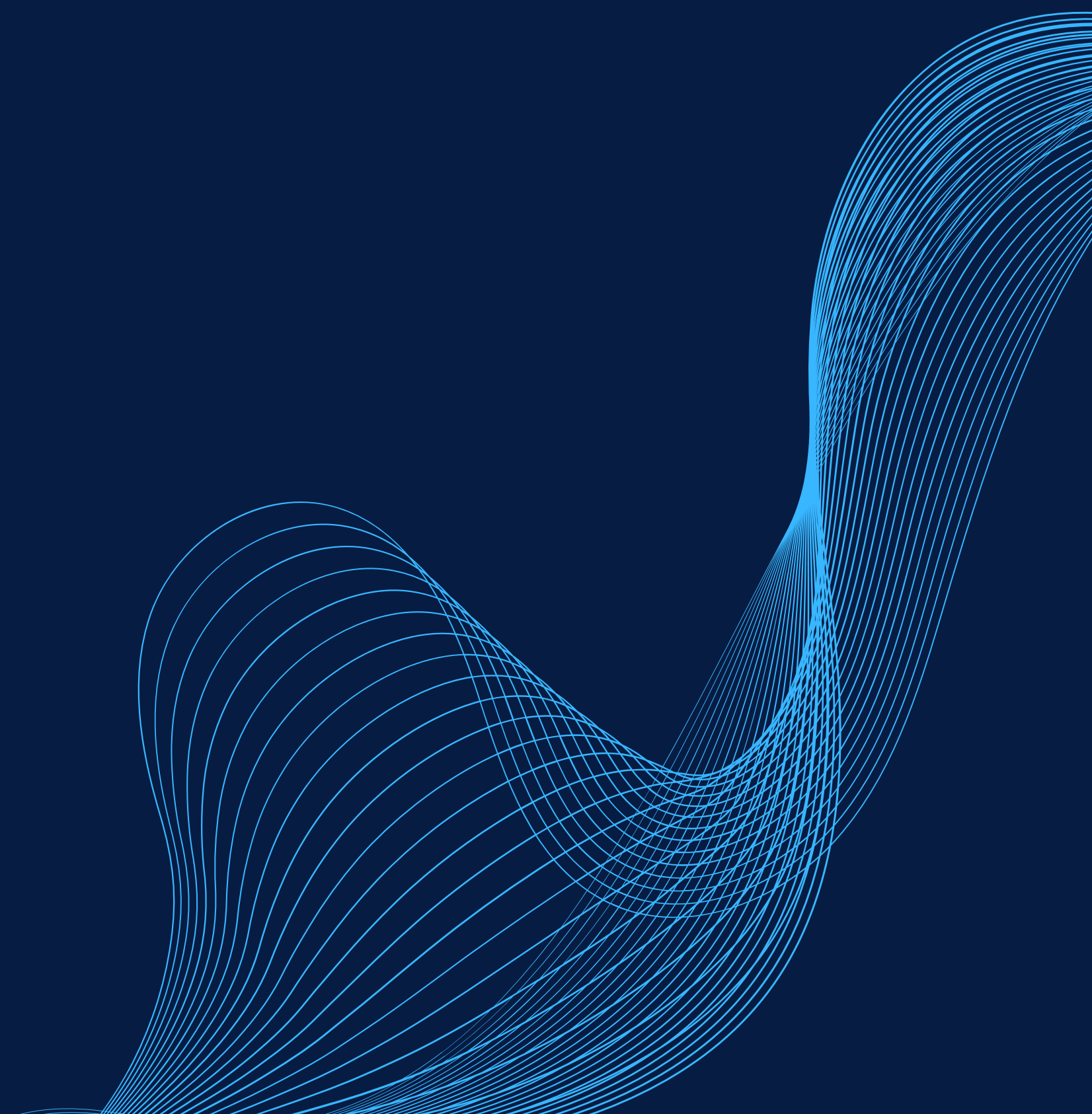
Patent Protections:

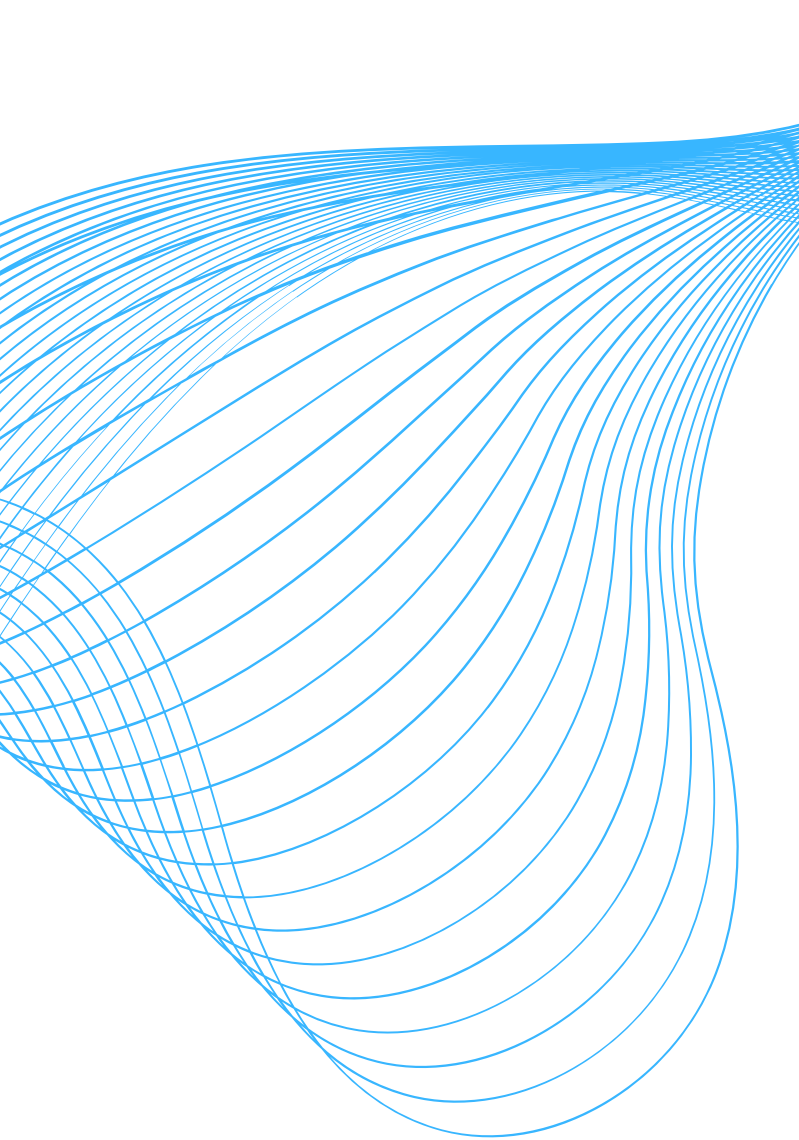
Aggressive international patent filings across all allied jurisdictions to legally block fast-follower imitation and unauthorized reverse-engineering.





Feasibility, Risks, Implementation





✓ **Strong cash flow + massive order log**

✓ **Monopoly position = HUGE leverage**

✓ **Government backing
(€2.5B Project Beethoven)**

✓ **Global demand shows no
signs of slowing**

**Why It
Works**

Risks

⚠ **Escalating global tensions and war**

Pillar 1: Reduce Geopolitical Risk,

Pillar 3: Controlled Localization

⚠ **Single-source suppliers (e.g. Zeiss)**

Deeper joint-ventures, possible M&A

⚠ **Talent scarcity in deep tech**

Pillar 4: Attract + Retain Talent

⚠ **Political retaliation**

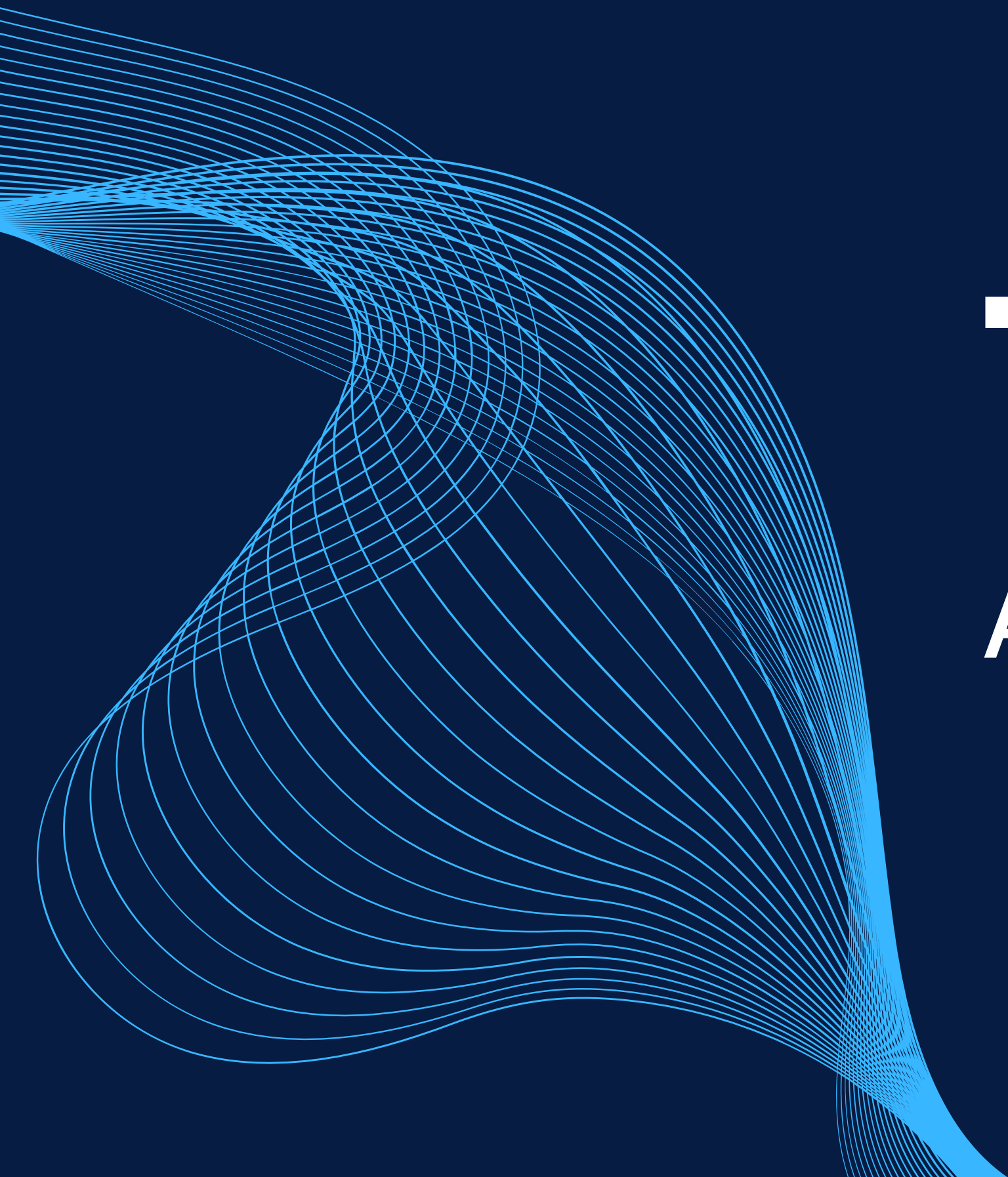
Pillar 2: Government Partnerships

Pillar 3: Controlled Localization



ASML already owns the market

Now it's time to anchor so deep into semiconductor hubs that removing them becomes unthinkable.



Thank You!

Any Questions?



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